

Lecture 3 · Classical Demand II

MWG Ch. 3.F–3.G · closing the square: Shephard, Roy, Slutsky

Advanced Microeconomics 1

Monday 28 September

Where we are

- Four objects exist and are linked by *level* identities: $e(p, v(p, w)) = w$, $h(p, u) = x(p, e(p, u))$, etc.
- Today we differentiate. Three derivative facts fall out in sequence:
 1. **Shephard's lemma:** $h = \nabla_p e$;
 2. **Roy's identity:** $x_\ell = -\frac{\partial v / \partial p_\ell}{\partial v / \partial w}$;
 3. **Slutsky equation:** $\frac{\partial h_\ell}{\partial p_k} = \frac{\partial x_\ell}{\partial p_k} + \frac{\partial x_\ell}{\partial w} x_k$.
- Then the payoff: the substitution matrix acquires its full property list — and each property becomes a named, measurable *failure mode* of rationality (Aguiar–Serrano).

The envelope theorem

The only theorem you need today

Theorem · envelope theorem (constrained, differentiable case)

Let $V(q) = \max_x \{f(x, q) : g(x, q) = 0\}$ with Lagrangian $\mathcal{L}(x, \lambda, q) = f + \lambda g$, and let $x(q)$ be the (differentiable) maximizer. Then

$$\frac{\partial V}{\partial q} = \frac{\partial \mathcal{L}}{\partial q} \Big|_{x=x(q)} = \frac{\partial f}{\partial q} + \lambda \frac{\partial g}{\partial q}.$$

- In words: to first order, **ignore the re-optimization**. The chain-rule terms through $x(q)$ vanish because the FOCs already set them to zero.
- Economic translation: when a price moves a little, the *behavioral response* has no first-order effect on the value — only the mechanical revaluation of the current choice does.
- Everything today, plus Hotelling (L6) and Shephard-for-cost (L7), is this theorem in different clothes.

Shephard and Roy

Shephard's lemma

Proposition · MWG 3.G.1

For u continuous representing LNS, strictly convex $\succsim$: $e(\cdot, u)$ is differentiable and

$$h(p, u) = \nabla_p e(p, u), \quad h_\ell(p, u) = \frac{\partial e(p, u)}{\partial p_\ell}.$$

Proof (envelope). $e(p, u) = \min_x \{px : u(x) \geq u\}$; the parameter p_ℓ enters the objective linearly with coefficient x_ℓ . Envelope: $\partial e / \partial p_\ell = h_\ell(p, u)$. $\square$

- Intuition: if p_ℓ rises by dp , the cheapest way to hold utility fixed costs $h_\ell dp$ more — *buy the same bundle*. Substituting away helps only at second order.
- Empirical gold: differentiate an estimated expenditure/cost function and you get demands, without ever solving a consumer problem. (Same move powers production-side econometrics, L7.)

The curvature dividend

Proposition · MWG 3.G.2

$D_p h(p, u) = D_{pp}^2 e(p, u)$. Hence $D_p h$ is

- **symmetric** [Hessians are]
- **negative semidefinite** [e concave in p]
- **singular**: $D_p h(p, u) p = 0$ [h h.d.0 in p + Euler's formula]

- This is why we cared that e is concave: differentiate Shephard once and the entire structure of substitution falls out of *one curvature fact*.
- NSD diagonal: $\partial h_\ell / \partial p_\ell \leq 0$ — the compensated law of demand again, now infinitesimally.

Roy's identity

Proposition · MWG 3.G.4

At interior solutions with v differentiable and $\partial v / \partial w > 0$:

$$x_\ell(p, w) = - \frac{\partial v(p, w) / \partial p_\ell}{\partial v(p, w) / \partial w}.$$

Proof. Differentiate the identity $v(p, e(p, u)) = u$ with respect to p_ℓ :

$$\frac{\partial v}{\partial p_\ell} + \frac{\partial v}{\partial w} \cdot \underbrace{\frac{\partial e}{\partial p_\ell}}_{= h_\ell \text{ (Shephard)}} = 0 \implies h_\ell = - \frac{\partial v / \partial p_\ell}{\partial v / \partial w},$$

then evaluate at $u = v(p, w)$ so $h_\ell = x_\ell$. $\square$

- Reading: a price increase hurts in proportion to how much you buy ($\partial v / \partial p_\ell = -\lambda x_\ell$), converted into consumption units by the marginal utility of wealth.

The Slutsky equation

The derivation (know it cold)

Start from the identity linking the two demands: $h_\ell(p, u) = x_\ell(p, e(p, u))$.

Differentiate with respect to p_k :

$$\frac{\partial h_\ell}{\partial p_k} = \frac{\partial x_\ell}{\partial p_k} + \frac{\partial x_\ell}{\partial w} \cdot \frac{\partial e}{\partial p_k} = \frac{\partial x_\ell}{\partial p_k} + \frac{\partial x_\ell}{\partial w} h_k(p, u).$$

Evaluate at $u = v(p, w)$, where $h_k = x_k(p, w)$:

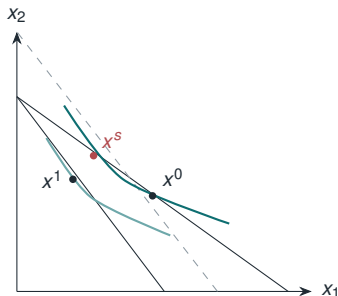
Slutsky equation (MWG 3.G.3)

$$\underbrace{\frac{\partial h_\ell}{\partial p_k}}_{\text{substitution}} = \underbrace{\frac{\partial x_\ell}{\partial p_k}}_{\text{total (observable)}} + \underbrace{\frac{\partial x_\ell}{\partial w} x_k}_{\text{income effect}} \equiv s_{\ell k}(p, w).$$

- Same S matrix as Lecture 1's choice-based construction — but now it *equals* $D_p h = D_{pp}^2 e$, and inherits that object's full structure.

Anatomy of a price change

- Price of good 1 rises: budget pivots in. Decompose the move $x^0 \rightarrow x^1$:
 - **substitution** ($x^0 \rightarrow x^s$): slide along the indifference curve to the new relative price;
 - **income** ($x^s \rightarrow x^1$): shift in to the actual budget.
- Substitution is always nonpositive (own-price). Sign of the total is a horse race.
- **Giffen anatomy**: inferior good + large budget share $\Rightarrow$ income effect can win. Consistent with Jensen–Miller's rice evidence: staple, poor households.



The substitution matrix: complete property list

Proposition · properties of $S(p, w)$ under preference maximization

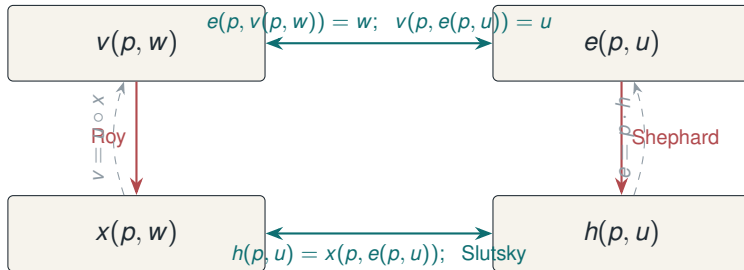
$$S(p, w) = D_p x + D_w x x^T = D_{pp}^2 e \quad \text{is}$$

1. **symmetric:** $s_{\ell k} = s_{k\ell}$;
2. **negative semidefinite:** $z^T S z \leq 0$ for all z ;
3. **singular with null vector** p : $S p = 0$ (and $p^T S = 0$).

The scorecard, completed

Lecture 1: WARP alone delivered (2) and (3), *not* (1). Symmetry is the differential fingerprint of **transitivity** — of a single coherent preference behind all choices. It is also exactly the condition for recovering preferences from demand (integrability, next lecture). One matrix, three axioms, three testable restrictions.

The square, closed



- Exam heuristic: given *any one* corner (plus regularity), you can reconstruct the other three. Prelims love starting you at v or e .

Working vocabulary for comparative statics

- **Net (Hicksian) substitutes/complements:** sign of $s_{\ell k}$. Symmetry makes this a *symmetric relation* — tea can't be a net substitute for coffee while coffee complements tea.
- **Gross (Walrasian) substitutes/complements:** sign of $\partial x_{\ell} / \partial p_k$; income effects break symmetry, so “gross” talk needs ordered pairs.
- NSD + singularity with $L = 2$: both goods are net substitutes, always ($s_{12} = -s_{11}p_1/p_2 \geq 0$). Genuine complementarity needs $L \geq 3$.
- Elasticity form for empirical work: $\varepsilon_{\ell k}^h = \varepsilon_{\ell k} + b_k \eta_{\ell}$ with budget share b_k and wealth elasticity η_{ℓ} — Slutsky in the units regressions deliver.

Application: bounded rationality in Slutsky coordinates

Aguiar–Serrano: how irrational, and in which direction?

Application · Aguiar & Serrano (Journal of Economic Theory, 2017)

- Take any observed (differentiable) demand $x(p, w)$; compute its Slutsky matrix S . Rationality says $S \in \{\text{symmetric, NSD, singular in } p\}$.
 - Their move: find the *nearest* matrix function S^r with all three properties and measure $\|S - S^r\|$ — a cardinal **distance from rationality**.
 - Punchline: the squared distance **decomposes exactly** into three orthogonal parts — a symmetry violation (σ), an NSD violation (π), and a singularity violation (ν).
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- So “behavioral” stops being a single adjective: a demand function fails rationality *in a direction*, and the direction is measurable.

Failure modes have signatures

Violated property	Axiomatic culprit	Example generating model
Symmetry	transitivity / integrability	sparse attention to prices (Gabaix)
NSD	WARP-type consistency	some menu-dependent choice rules
Singularity ($S_p \neq 0$)	homogeneity / Walras	money illusion; left-over budgets

- Behavioral models become *testable against each other*: a theory of limited attention that predicts asymmetry is falsified by data whose only failure is non-singularity.
- Connects back to Practical A: CCEI compresses violations into one number; the Slutsky decomposition is its differential cousin that keeps the direction.
- The substitution matrix is the **coordinate system** in which bounded rationality is measured.

From theory to estimation

- To confront any of this with data you need $\hat{S}$: estimate a demand system flexibly (AIDS/QUAIDS: Deaton–Muellbauer 1980; Banks–Blundell–Lewbel 1997), then form $\hat{s}_{\ell k}$ from the estimated price and wealth derivatives.
- Classical tests impose/test symmetry and negativity as parameter restrictions; rejections in aggregate data are common — and Ch. 4's aggregation problem is one reading of why (individual rationality does not aggregate).
- Modern nonparametric route: revealed-preference bounds on finite data (Blundell–Browning–Crawford 2003 onward) — previewed properly with Afriat next lecture.

Takeaways and readings

Takeaways

- One envelope theorem $\Rightarrow$ Shephard $\Rightarrow$ Roy $\Rightarrow$ Slutsky; the square is closed in both levels and derivatives.
- $S = D_{pp}^2 e$: symmetric, NSD, $Sp = 0$. Symmetry is the part WARP could not deliver — the fingerprint of transitivity.
- Violations of each property are separately measurable and correspond to distinct behavioral theories (Aguiar–Serrano).

Required: MWG 3.F–3.G. **Next:** 3.H–3.J.

Applications: Aguiar–Serrano (2017), Sections 1–3.

Thursday is the practical: bring a laptop with R working. Your Session 1 quiz answers are about to become data.